



Individual Coursework Submission Form

Specialist Masters Programme

Surname: Jain	First Name: Tithi
MSc in: Business Analytics	Student ID number: 240005660
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Lecturer: Michael Dowling	Submission Date: 15/07/2025
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SIMPLIFY.
COMPLY.
GROW.

ComplianceAI REPORT





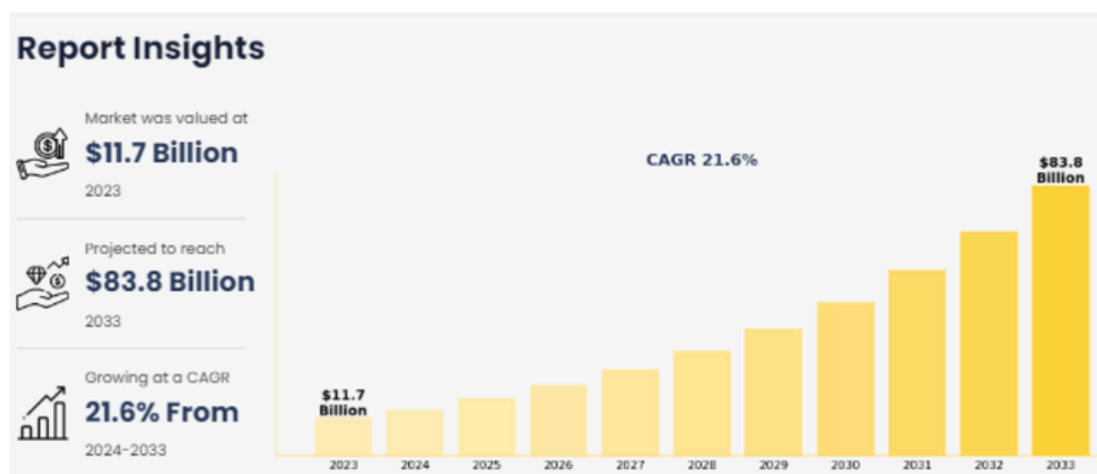
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INTRODUCTION

In 2025, RegTech is driving a paradigm shift in digital finance, automating complex compliance tasks through AI and data analytics. The global RegTech market, valued at \$12 billion in 2023, is forecast to exceed \$84 billion by 2033, growing at over 20% per annum (Allied Market Research, 2024; Deloitte, 2024). While large financial institutions have deployed these advanced solutions, small and medium-sized enterprises (SMEs), which constitute 99% of UK businesses, remain largely excluded (UK Parliament, 2024).

UK SMEs face an ever-evolving regulatory landscape: post-Brexit and post-COVID reforms, stringent GDPR penalties totalling €1.2 billion in 2024, and a 156% rise in FCA anti-money-laundering fines in one year (Gallagher, 2025; Fenargo, 2025). A British Chambers of Commerce survey found that 60% of SMEs struggle to keep pace with these changes (British Chambers of Commerce, 2023). Manual processes and fragmented tools not only expose smaller firms to costly penalties but also divert precious resources from growth (McKinsey Global Institute, 2024).



We propose a smart, all-in-one RegTech platform, ComplianceAI, tailored for UK SMEs: a unified dashboard delivering automated compliance updates, deadline reminders, plain-language alerts, real-time risk and fraud monitoring, and AI-driven regulatory intelligence. Mobile-first design, seamless integrations, flexible subscription pricing, and self-service onboarding will democratize compliance, transforming it from a burdensome cost center into a strategic asset. By closing the gap between large-scale RegTech innovation and SME needs, our solution empowers small businesses to stay ahead of regulation, avoid fines, and focus on what they do best: growing their business.

Having framed the compliance burden for SMEs, we now quantify the market's explosive growth and the relatively low SME uptake that signals our opportunity.

Market Segment	Period	USD (Base → Forecast)	GBP (Base → Forecast)	CAGR
Global RegTech Market (Solutions & Services)	2020 → 2025	\$6.3 bn → \$16.0 bn	£4.66 bn → £11.84 bn	20.3%
SME FinTech Adoption Rate	—	Global: 25%; UK: 18%	—	—
Compliance Software Market	2025 → 2030	\$36.2 bn → \$65.8 bn	£26.8 bn → £48.7 bn	12.7%
UK Regulatory Consulting Outsourcing Services Market	2023 → 2025 (forecast)	\$43.6 m → \$50.1 m	£32.3 m → £37.1 m	7.2% (2024–2030)

RegTech is on track to nearly triple from \$6.3 bn in 2020 to \$16 bn by 2025 (20.3% CAGR), yet only 18% of UK SMEs use digital compliance tools. This gap reveals a vast, untapped opportunity for an SME-focused, all-in-one solution.

Against this backdrop of rapid expansion, deeper analysis reveals the precise catalysts of change and the unusually wide gap in SME adoption. Widening digitalisation after COVID-19 has accelerated demand for cloud-based compliance tools, while AI/ML maturity now allows real-time risk scoring that was once the preserve of Tier-1 banks (Deloitte, 2024). Yet SMEs still face costly, complex platforms ill-suited to lean operations, underscoring a striking under-penetration of digital compliance (EY, 2025). To understand how existing solutions fall short, we next map the RegTech landscape across four core segments, AML/KYC automation, reporting & audit, risk & fraud detection, and regulatory intelligence, examining leading products like ComplyAdvantage, Alloy, Encompass and PassFort to pinpoint the whitespace where an SME-first platform can truly democratise compliance (Forrester, 2025; McKinsey, 2024).

PRODUCT SEGMENTATION-

WHAT'S ALREADY OUT THERE?

01

AML / KYC Automation

- ComplyAdvantage: AI-driven global sanctions screening and AML risk scoring; serves 1,300+ enterprises across 80 countries; enterprise-grade UI, limited self-service for smaller firms (ComplyAdvantage, 2024).
- Alloy: API-first identity risk decisioning platform, integrates 190+ data sources for KYC/KYB and fraud; designed for fintechs and SMBs, low-code rules engine simplifies SME onboarding (Alloy, 2025).
- PassFort (Moody's Analytics): SaaS AML/KYC workflow orchestration; used by challengers like OneBanx to streamline SME onboarding; still early-stage SME pricing (Moody's Analytics, 2024).

02

Reporting & Audit Solutions

- Wolters Kluwer OneSumX: End-to-end regulatory reporting (Basel, MiFID II), blockchain-enabled audit trails; proven at global banks, high TCO and lengthy implementations limit SME uptake (Wolters Kluwer, 2024).
- AxiomSL (Adenza/Nasdaq): Comprehensive data aggregation and submission engine; deep analytics, customisable rule libraries; enterprise-only licensing model (AxiomSL, 2024).
- NICE Actimize: Integrated case and report management; advanced analytics for audit-ready reporting; steep learning curve and on-premise requirements challenge smaller users (NICE Actimize, 2024).

03

Risk & Fraud Detection

- NICE Actimize: ML-driven real-time transaction monitoring; low false-positive focus for banks; complex integration poses barriers to SME adoption (NICE Actimize, 2024).
- SAS Anti-Money Laundering: Statistical risk-scoring engine; deep analytics for enterprise; expensive licences and specialist skill requirements (SAS, 2024).
- NetReveal (BAE Systems): Network analytics and entity-link detection; market leader for Tier-1 banks; not packaged for smaller teams (BAE Systems, 2024).

04

Regulatory Alerts

- Thomson Reuters Regulatory Intelligence: Global rules monitoring and expert analysis; enterprise dashboards, custom alerts; high subscription fees limit SME access (Thomson Reuters, 2024).
- CUBE (formerly TRRI by LSEG): AI-enhanced regulatory change services; tiered offerings now include mid-market subscriptions post-acquisition; growing SME user base (CUBE, 2024).
- Ascent: AI-driven rules-to-policy mapping; auto-tags obligations, integrates with GRC systems; designed with SME UX and pricing tiers (Ascent, 2024).

CONTINUED...



In summary, today's RegTech product offerings span a wide range of compliance needs, from fighting financial crime to keeping books in order. The 2x2 matrix of categories gives a high-level view, but it's worth noting that many providers cross boundaries, for instance, an AML platform may also offer case management that overlaps with audit needs, or a KYC vendor may integrate fraud scoring. The industry is maturing and consolidating: the top five vendors (e.g. Thomson Reuters, NICE Actimize, Wolters Kluwer, Fenargo, ComplyAdvantage) now command roughly two-thirds of the global market. These leaders typically cater to large enterprises with comprehensive (and sometimes costly) solutions.

Meanwhile, emerging players like Alloy, PassFort, Encompass, and others are innovating on usability and specialization, often targeting the needs of fintech startups, community banks, or specific regional regulations. This dynamic has led to a healthier ecosystem: big banks get the integrated systems they need, and smaller institutions start to gain access to modern compliance tools that were once out of reach. Still, gaps remain to be filled in SME accessibility and seamless integration. As we move forward, the story of RegTech is one of convergence, where enterprise-grade reliability meets fintech agility, all in the service of making compliance more effective and more efficient for every player in the financial system.

Compliance Software Market Leaders

- 1 Fenargo, Ltd.
- 2 Actico GmbH
- 3 ComplyAdvantage Ltd.
- 4 RegEd, Inc.
- 5 VComply, Inc.

*Disclaimer: Major Players sorted in no particular order

Market Concentration

Consolidated - Market dominated by 1-5 major players.



Fragmented - Highly competitive market without dominant players.

Source : Mordor Intelligence



Market Players vs. SMEs-

A Comparative Feature Matrix

To understand how our SME-first RegTech platform will stand out, we've benchmarked leading solutions across five dimensions: features, pricing, target segment, strengths, and weaknesses. The table below compares enterprise incumbents and emerging specialists, highlighting gaps in SME usability that our offering addresses.

Competitor	Key Features	Pricing	Target Segment	Strengths	Weaknesses
Comply Advantage	Real-time AML/KYC screening, transaction monitoring, sanctions and PEP checks (AML/KYC).	Tiered SaaS; from ~\$99/month (basic), enterprise custom pricing	Broad: fintechs, banks, insurance, crypto	Wide risk coverage, strong APIs, SME-friendly starter plan	Lacks built-in case management, false positives, needs tuning
Alloy	Identity verification, fraud risk orchestration, workflow automation (AML/KYC & Fraud)	Custom enterprise pricing, usage-based	Digital banks, fintech lenders, mid-market FIs	Flexible integrations, real-time onboarding decisions	Complex setup, no public pricing, API-focused, not SME-friendly
My Compliance Office (MCO)	Conduct risk, employee compliance, third-party due diligence, audit trails (Reporting/Audit)	Scalable SaaS pricing by size/module; annual plans	Mid-size FIs, some large institutions	All-in-one suite, SME-scalable, fast deployment	May be overkill for narrow use, limited AML/KYC scope
Clause match	Collaborative policy editor, version control, regulatory mapping (Reg. Intelligence)	Modular SaaS; custom per user/module	Mid-sized regulated firms, banks, insurance	Strong audit trails, easy collaboration, modular pricing	Narrow scope, lacks broader compliance functions

CONTINUED...

Competitor	Key Features	Pricing	Target Segment	Strengths	Weaknesses
Sentinels	Real-time AML transaction monitoring, behavioral analytics, alert case mgmt (Fraud Detection)	SaaS; volume-based, no public pricing	Fintechs, digital banks, expanding to enterprises	AI-powered insights, fast deployment, analyst-friendly UI	May be too advanced for SMEs, ongoing tuning needed

CLOSING THE COMPLIANCE GAP FOR SMEs

Despite the rapid growth of RegTech in the UK, the market remains largely underserved when it comes to solutions designed specifically for SMEs. Most existing platforms, while powerful, are tailored to enterprise users, requiring technical integrations, large budgets, and dedicated compliance teams. SME adoption is often hindered by complex user interfaces, opaque pricing, and a lack of plain-language alerts or proactive guidance. Even entry-level plans from leading providers focus more on scaling down enterprise features than solving the unique needs of small businesses. As a result, many SMEs either rely on manual compliance through spreadsheets or overspend on tools they can't fully utilize. Our product fills this gap by offering an SME-first, mobile-friendly compliance platform that delivers real-time regulatory updates, risk alerts, and deadline reminders. With self-service onboarding, seamless integrations, and flexible pricing, we provide a plug-and-play compliance assistant that empowers UK SMEs to stay ahead of regulations, without needing a legal department.

INTRODUCING...

ComplianceAI

Imagine compliance as your savvy sidekick rather than a tedious taskmaster. ComplianceAI is the next-generation, all-in-one platform crafted just for UK and EU SMEs, those ambitious retailers, digital startups, consultants and co-working spaces that form over 99% of our business landscape. Gone are the days of wrestling dense rulebooks: with a slick, mobile-first dashboard, you'll receive automated regulatory updates, plain-English guidance and smart alerts that pop up exactly when you need them.

Behind the scenes, AI-driven intelligence works tirelessly to spot emerging risks and fraud, while recurring reminders and a comprehensive audit trail keep you one step ahead of deadlines and fines. Onboarding is as simple as sipping your morning coffee, interactive demos, plug-and-play templates and seamless links to your accounting, payroll and CRM systems mean you're up and running in under an hour, no legal degree required.



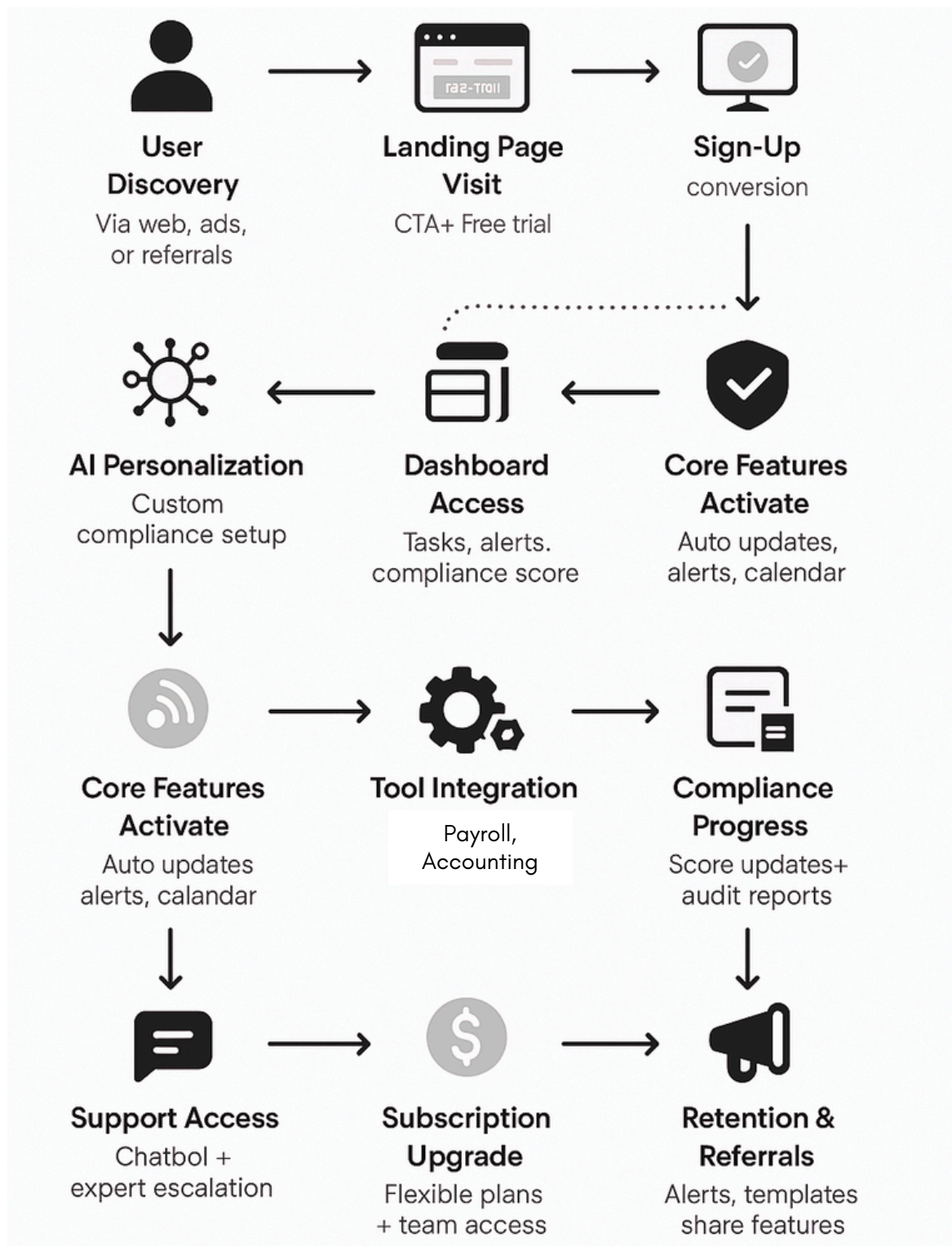
Who ComplianceAI Serves



Worried about costs? Breathe easy with a 14-day free trial (no credit card needed) and transparent subscription tiers tailored to micro-businesses or growing teams. A friendly chatbot stands by 24/7, with expert escalation on tap for complex queries. By transforming compliance from a burdensome cost centre into a strategic growth engine, ComplianceAI delivers clarity, control and confidence, freeing you to focus on what you do best: building your business.

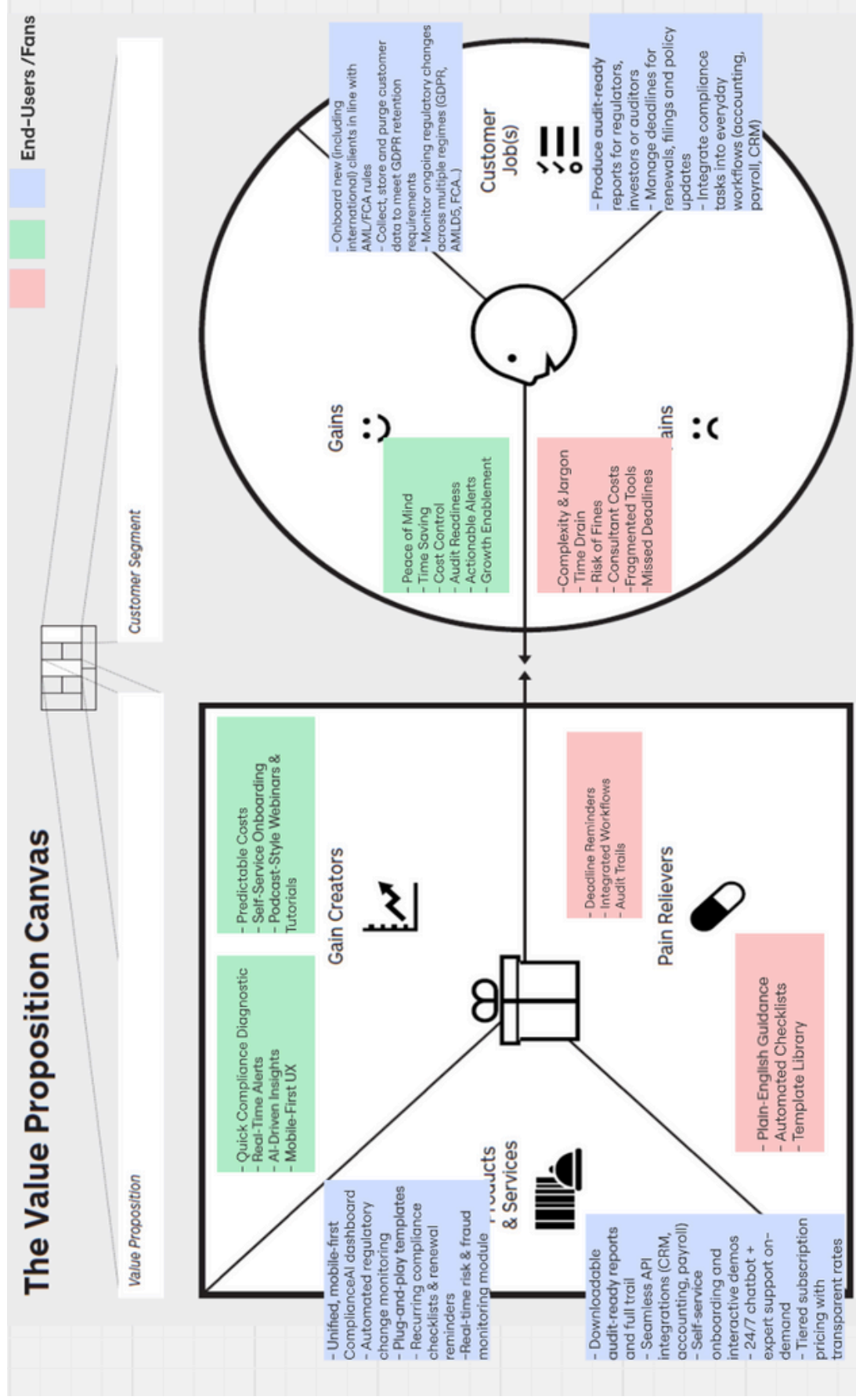
PRODUCTION FLOW

This flow charts a seamless journey from user discovery, via web ads or referrals, through sign-up and free trial into a personalised ComplianceAI dashboard. Core features automatically activate, AI tailors compliance setups, and integrations sync with payroll and accounting. Ongoing support, smart alerts and audit reports drive subscription upgrades, retention and word-of-mouth referrals.



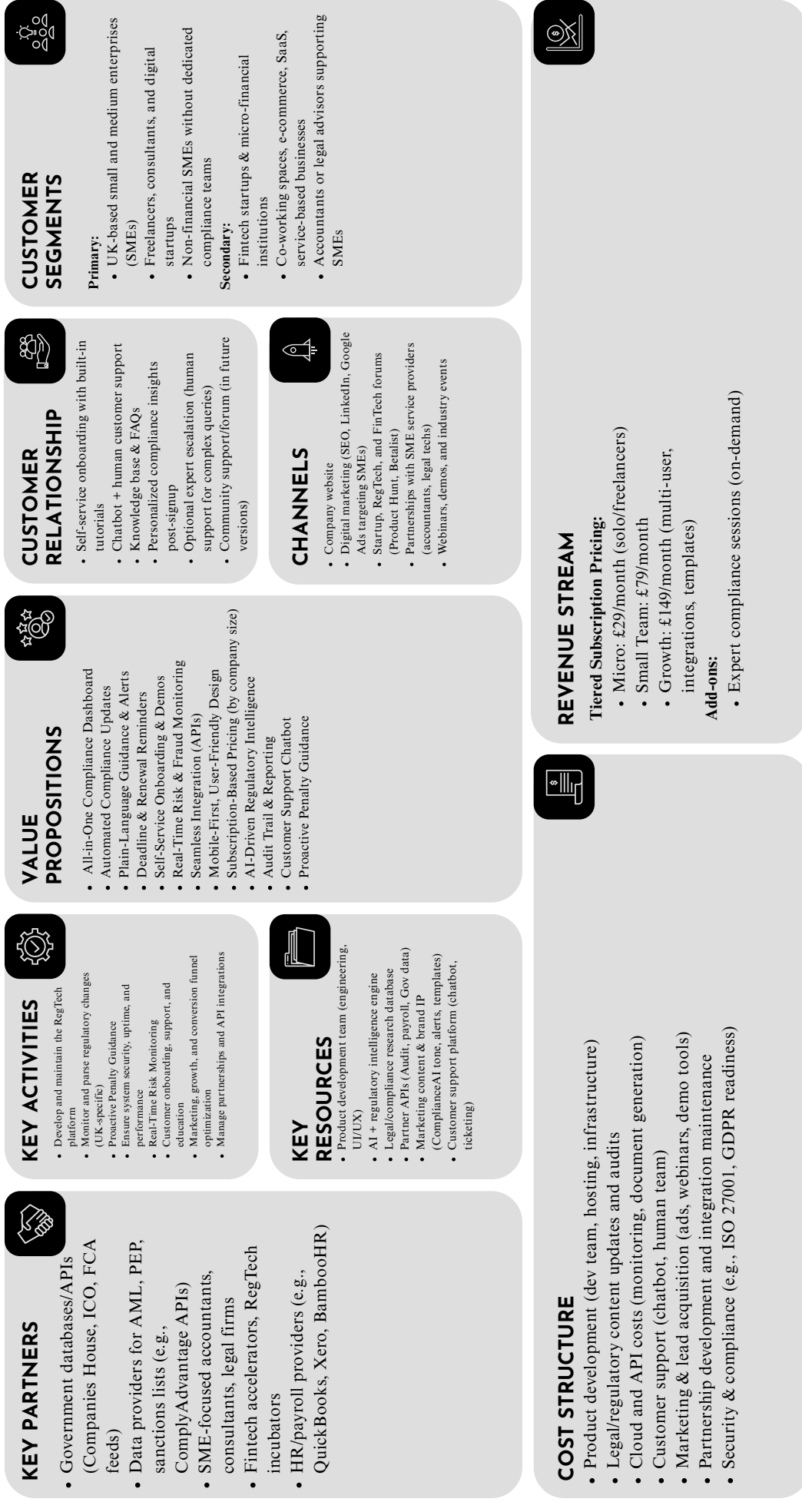
To ensure our SME-focused platform aligns with customer needs, we mapped ComplianceAI's offerings against SMEs' jobs, pains, and gains. This canvas confirms we're solving the right problems, transforming compliance into a seamless, growth-enabling experience.

VALUE PROPOSITION CANVAS



BUSINESS MODEL CANVAS

To ensure our SME-focused platform aligns with customer needs, we mapped ComplianceAI's offerings against SMEs' jobs, pains, and gains. This canvas confirms we're solving the right problems, transforming compliance into a seamless, growth-enabling experience.



SWOT ANALYSIS

To assess ComplianceAI's strategic position, we've mapped its internal capabilities and market context across four dimensions. This SWOT highlights how our SME-native, mobile-first offering can capitalise on growing regulatory demands while navigating brand, resource, and market risks.

- SME-native architecture with mobile-first design
- Comprehensive all-in-one compliance dashboard
- 14-day free trial with no credit card required
- Self-service implementation without consultants

STRENGTHS

OPPORTUNITIES

- £2.8 billion underserved SME RegTech market
- Increasing regulatory pressure and penalties
- Post-COVID digital transformation acceleration
- Building AI trust through transparent compliance processes

- New market entrant with limited brand recognition
- Resource constraints vs. enterprise competitors
- Complex multi-jurisdictional regulatory requirements
- SME customer education needs

WEAKNESSES

THREATS

- Enterprise competitors developing SME solutions
- Rapid regulatory changes requiring updates
- Economic downturn affecting SME budget
- SME skepticism toward AI-driven compliance solutions

Meet the Users...

Having mapped the RegTech landscape and pinpointed SME-usability gaps, let's bring our solution to life through three real-world users. From a freelance consultant securing AML compliance to an e-commerce founder automating GDPR clean-ups and a co-working space owner impressing investors, these stories show how our platform turns compliance from a burden into a growth enabler.



PROBLEM

Harvey wanted to onboard international clients but feared his spreadsheets and notes didn't meet UK AML/FCA rules. Without legal support or clear guidance, he risked potentially missing critical compliance steps.

SOULUTION

ComplianceAI ran a quick diagnostic, flagged missing AML checks, and used plain-English templates to guide Harvey through ID verification, risk-scoring and audit-trail setup. In under an hour, he was compliant.

MEET, HARVEY

A Freelance Consultant,
Bristol



PROBLEM

Rachel's fashion store had thousands of old customer records past GDPR limits. After a rival's fine, she needed a quick, reliable tool to purge her data and prove compliance.

SOULUTION

ComplianceAI scanned Rachel's systems, flagged 1,412 outdated records, and guided her through archiving or deletion with plain-English prompts. It then created a downloadable GDPR compliance report, giving her audit-ready proof.

MEET, RACHEL

An E-Commerce Founder,
Leeds



PROBLEM

Mike raised funds to open co-working sites, but investors required proof of health&safety, data privacy, and staff training logs before releasing funds. Without a roadmap, he risked delays.

SOULUTION

ComplianceAI asked simple questions and created a custom dashboard listing needed policies, deadlines, and documents. With templates and reminders, Mike built an audit trail in minutes and unlocked his funding.

MEET, MIKE

A Co-working space owner,
Glasgow

We gratefully acknowledge the following sources, whose insights and data have informed and supported this analysis.

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